IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P(CAA)No. 22/BB/2018
U/S 230 to 232
of the Companies Act,2013
R/w Companies

(Compromise, Arrangement and Amalgamation) Rules, 2016

MCML Electrical Systems Private Limited,
Registered Office at: C-9, KSSIDC Industrial Estate,
Yelahanka, Bangalore – 560106

....Petitioner No.1/ Transferor Company No.1

MCML Train Control Technologies Private Limited,
Registered Office at: C-9, KSSIDC Industrial Estate,
Yelahanka, Bangalore – 560106

....Petitioner No.2/ Transferor Company No.2

MCML Systems Private Limited,
Registered Office at: C-9, KSSIDC Industrial Estate,
Yelahanka, Bangalore – 560106

....Petitioner No.3/ Transferee Company

Coram: Hon'ble Shri Rajeswara Rao Vittanala(Judicial)

For the Petitioners : Shri Vinod Sundar Raman,
For the ROC : Smt. Prema Hatti

Date of order : 8-5-2018.

ORDER

Per: Rajeswara Rao Vittanala (J)

1. This Company Petition was jointly filed by the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013, by inter alia seeking for the Scheme of Amalgamation of **MCML Electrical Systems Private Limited, MCML Train Control Technologies Private Limited with MCML Systems Private Limited**, be sanctioned by declaring the

same to be binding on the Transferee Company and Transferor Companies and their respective shareholders and creditors etc.

2. Brief facts of the case, as mentioned in the Company Petition,which are relevant to the issue in question, are as follows:

1) 'MCML Electrical Systems Private Limited' bearing CIN No.U35203KA2007PTC044763 (herein referred to as the "Transferor Company No.1") was incorporated on 24.12.2007 is situated at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru-560 106. Its authorised, issued subscribed and paid-up share capital as on March 31, 2017, was as follows:

Authorised Capital	**Amount in INR**
21,00,000 Equity shares of Rs. 10/- each	2,10,00,000/-
Issued, Subscribed and Paid-Up Capital	**Amount in INR**
50,000 Equity shares of Rs. 10/- each fully paid up	5,00,000/-

Subsequent to March 31, 2017, there has been no change in the share capital of the Transferor Company No.1.

Its main objects are to 'carry on in India or elsewhere the business of Designing, Manufacturing, Erecting, Installation, Commissioning, Importing etc.

2) **MCML Train Control Technologies Private Limited** (herein referred to as the "Transferor Company No.2")was incorporated on 26.12.2007 in the State of Tamil Nadu with CIN No.U29200KA2007PTC055373. On 05.10.2010, the Registered Office was shifted to Karnataka and thus it is situated at C-9, KSSIDC Industrial Estate, Yelahanka, and Bengaluru-560 106.

Its issuedsubscribed and paid-up share capital as on March 31, 2017, was as follows:

Authorised Capital	**Amount in INR**
16,00,000 Equity shares of Rs. 10/- each	1,60,00,000/-
Issued, Subscribed and Paid-Up Capital	**Amount in INR**
10,000 Equity shares of Rs. 10/- each fully paid up	1,00,000/-

Subsequent to March 31, 2017, there has been no change in the share capital of the Company.

Its main objects,in brief, are to 'carry on the business of design, development and implementation of technologies used in Train Control Systems with various technologies that relating to design and development of remote control system for train traffic, development of microprocessor based electronic interlocking system, train protection and warning system and any other system related to safety critical systems', etc.

3) 'MCML Systems Private Limited' with the Registrar of Companies, Karnataka vide CIN bearing No.U32109KA1999PTC025579.(Hereinafter also referred to as the "Transferee Company") was incorporated on 9th August 1999 and its Registered office is situated at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru-560 106.

Its Authorised, issued, subscribed and paid-up share capital as on March 31, 2017 was as follows:

Authorised Capital	**Amount in INR**
1,20,00,000 Equity Shares of Rs.10/- each	12,00,00,000/-
Issued, Subscribed and Paid-Up Capital	**Amount in INR**
6472637 Equity Shares of Rs.10/- each fully paid up	6,47,26,370/-

Subsequent to March 31, 2017, there has been no change in the share capital Company.

It is main objects , on its incorporation, inter alia are 'designing, manufacturing, erecting, installation, commissioning, importing, exporting, buying, selling, exchanging, distributing, repairing and servicing of Railway Signalling and Telecommunications Equipment and any other equipment related to the railways', etc.

4) The Board of Directors of the Petitioners No.1, No.2 and No.3, have approved and adopted the Scheme of Amalgamation,whereinMCML Electrical Systems Private Limited (Transferor Company No.1) and MCML Train Control

Technologies Private Limited (Transferor Company No.2), are to be merged with MCML Systems Private Limited (Transferee Company),at their respective meetings held on 08th November 2017. However, the approval is subject to final approval of the Tribunal.

3. The Petitioners have earlier filed CA(CAA) No.88/BB/2017, by inter alia seeking to convene the meeting of the Equity Shareholders, dispensation of Unsecured Creditors etc. Accordingly, the case has disposed of vide order dated 11.01.2018, by inter alia directing as follows:

a) Meeting of Equity Shareholders of 1st Petitioner was dispensed with

b) Meeting of Unsecured Creditors of 1st Petitioner was dispensed with

c) Meeting of Equity Shareholders of 2nd Petitioner was directed to be convened on February 27, 2018.

d) Meeting of Unsecured Creditors of 2nd Petitioner was dispensed with

e) Meeting of Equity Shareholders of 3rd Petitioner was dispensed with

f) Meeting of Unsecured Creditors of the 3rd Petitioner was directed to be convened on February 27, 2018.

Accordingly, the meeting of Equity Shareholders of 2nd Petitioner was held on 27.02.2018. It was attended by the Shareholders representing 80% and Scheme of Amalgamation was unanimously approved. The Scheme of Amalgamation. Similarly, the meeting of Unsecured Creditors of the 3rd Petitioner was held, on 27.02.2018 and it was attended by Creditors representing 99.28% of the total debt, and thus approved the scheme of Amalgamation unanimously. Therefore, the Chairman has filed his report on 28.02.2018 in respect of meeting conducted for Equity share holders and unsecured Creditors.

4. Subsequent to the completion of preliminary/first stage procedure of conducting meetings etc, the instant petition is filed by interalia seeking to approve the Scheme in question. Accordingly, theTribunal vide its orders dated 22nd June 2018 directed the Petitioner Companies to issue Notice to all relevant statutory authorities including RD, ROC, Principal Chief Commissioner of Income Tax (Karnataka & Goa) and to other regulatory authorities and also ordered publication of petition in newspapers.

5. Accordingly, the authorised signatories for the Petitioner Companies, have filed an Affidavit dated 08th April 2019 for having taken paper publication as directed and have also furnished the copy of the paper publications for having taken Advertisement in **'The Hindu'**, an English daily Newspaper and **'Udayavani'** a Kannada daily Newspaper on 08th July 2018 and have also filed proof of service of notice on Regional Director, Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Bengaluru, Karnataka and OL and to concerned Income Tax Officer.

6. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by the Registrar of Companies has filed Affidavit dated 19thJuly, 2018 making inter alia making the following observations:

(i) The petitioner Companies may be directed to file necessary e-forms with ROC informing the change of its registered office and also seek adjudication by filing necessary application with ROC for violation of Sec.12 of the Companies Act, 2013.

(ii) None of the companies involved in the scheme has filed GNL-1 attaching the Scheme. As per the MCA Portal, two charges are pending and the status of the same is showing as 'open' but transferee company has not furnished any information about the meeting of the secured creditors.

(iii) There are no prosecutions, complaints, technical scrutiny/inspections pending in this office against the petitioner companies. The petition may be decided on merits.

(iv) The charted Accountant engaged by the OLR has also certified that on scrutiny of books of accounts, papers, statutory registers, minutes and other related records of the Company, it is found that the affairs of the Company have not been conducted in a manner prejudicial to the interest of the members of the company or public interest as per Section 232 of Companies Act, 2013.

7. The Authorized Signatories of the Petitioner Companies have filed reply Affidavit dated 24thSeptember, 2018to the observations of filed on behalf of the Regional Director, by inter alia stating that:-

i. The registered office of all the three Petitioner Companies are situated at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru-560 106 for the past several years and it is owned by Petitioner No.3, Transferee Company and there is no reason for the petitioners to shift or change their registered office.

ii. The letters sent by the Regional Director may not have been delivered due to error by the postal department or due to other reasons, but definitely not due to the Petitioners having shifted their registered office. Therefore, thereis no violation of Section 12 of the Companies Act, 2013.

iii. Till date no objections have been received from the Income Tax Department even after serving Notice as duly issued by the Tribunal. There are no outstanding Income Tax Dues, whether disputed or otherwise, and that there are also no pending Income Tax proceedings for which notice has been issued against any of the Petitioner Companies.

iv. As per Section 230(5) of the Companies Act, 2013, where no representation is received within 30 days of the notice, it shall

be presumed that there are no representations to make, and that therefore, in view of the deeming provisions, necessary orders to sanction the Scheme may be passed.

8. It is settled position of law that the Companies involved in the scheme have right to evolve their suitable schemes in accordance with their business interest and public interest duly complying with their respective Memo and Articles of Association, however, subject to overall compliance of extant provisions of Companies Act, 2013 and the Rules made thereunder. At the same time, the Tribunal is under obligation to scrutinize the schemes in question, in the light of law on the issue before it is approved. Apart from framing scheme in question, it is duly approved by the Board of Directors of the respective Companies, and it was duly approved by respective stake holders with requisite majority as detailed supra. The Petitioner Companies have also followed pre-conditions such as convening the meetings of the Shareholders and Creditors of respective Companies, getting the dispensation of holding meeting of secured creditors etc. It is also relevant to point out here that the Scheme in question is not opposed by any statutory or regulatory authorities or any other concerned person (i.e. BSE, NSE, SEBI, RD, ROC, OL, IT Department, Shareholders, Creditors, other stakeholders etc.). It is for the benefit of all the Companies involved and Stakeholders and it is not against Public interest. After analyzing the issue in detail, the Tribunal is convinced that the scheme in question would broadly confirm to the general principles of law as enunciated under provisions of Sections 230 to 232 of Companies Act, 2013 and the rules made thereunder.

9. It is relevant to point out here that the law on the issue. In the case *of* ***Miheer H. Mafatlal V Mafatlal Industries Ltd (1997) 1 Supreme Court Cases 579,*** it is inter-alia held that the factors to be considered by court in granting sanction to Amalgamation and Mergers – Creditors or members must on the basis of relevant

material arrive at an informed decision for approving the scheme – Scheme should be just, fair and reasonable to the whole class of the creditors or members including the dissenting minority and should not be illegal, unconscionable, unfair or violative of any public policy – court can in appropriate cases pierce the veil of apparent corporate purpose underlying the Scheme - However, jurisdiction of court is supervisory and not appellate in nature – Court cannot, therefore, normally interfere with the commercial wisdom of the parties who have taken an informed decision in the meeting – Company Law – Piercing the Corporate Veil.

10. The Court held that when the parameters set out in the case of Miheer H. Mafatlal are met, the court has no further jurisdiction to sit in appeal over the commercial wisdom of the majority of class of persons who have with their eyes open given approval to the scheme, even if in the view of the court there would be better scheme for the Company.

United Western bank Ltd V Khaitan Hostombe Spinels Ltd, (2009) 91 SCL, 221 (All).

"Wherein it is held is The Hon'ble HC held that when the scheme was approved by the majority of the shareholders and unsecured creditors at the meeting convened under the orders of Hon'ble Court, the Court can allow the Petition, even though the scheme was in violation of accounting standards and also under section 211 of the Companies Act, 1956, if the petitioner submits an undertaking to the court to disclosure of all the documents as requires under law."

In the case of ***Sasken Communications Technologies Ltd., In re., (2010) 155 C.C. 463 (karn).***

Scope of Power of Court

When the majority of the shareholders approved the scheme, the Court in consideration of a petition for sanction of a scheme of

arrangement under Section 391 of the Companies Act, 1956 would not sit on appeal over the commercial wisdom of the Company, its shareholders and Board of Directors. The Court will not act as a rubber stamp and proceed to grant mechanically, the court will grant the scheme only when it satisfies that the scheme is in interest of the members and creditors and public at large.

Provisions not to be affected

The Hon'ble Court called upon to sanction scheme of amalgamation would not act as a Court of Appeal and sit in judgment over the informed view of the concerned parties to the Scheme, as the same is best left to the Corporate and commercial wisdom of the parties concerned.

In the case of ***Sesa Industries Ltd v Krishna H. Bajaj (2011) 162 C.C 119 (S.C): (2011) 1 CLJ 481 (SC): (2011) 106 SCL 218 (SC), it is inter alia held that*** Court has discretion in the matter of granting sanction. The scope of inquiry by the court is not limited to any rigid principles except in so far that, in addition to examining the statutory compliance, it must be seen that the proposed scheme of arrangement is reasonable and can be viewed as beneficial to those likely to be affected by it. Obviously the burden to prove this lies on the Petitioner. It is not open to the court to sit in judgment over the views of the shareholders and the Board of Directors unless their views were against the framework of law and public. Moreover, it is purely a business decision based on commercial considerations in respect of which intervention of the court is unwarranted.

In the case of **Vodafone Essar Mobile Services Ltd, In re, (2011) 163 CC 119 (Delhi):(2011)2CLJ 317 (DEL)®2011) 107 SCL 51 (Del).** ***Wherein it is inter alia held that*** third party cannot be permitted to file objection to a scheme just because the scheme merely affects some of his rights, unless it is established that there is violation of substantive law. Once the majority in number representing three fourth in value of the creditors or class of creditors

or members of classes of members agree to any compromise of arrangement, then, the scheme, if sanctioned by the court will be binding on all creditors and members and also on the company or in case of a company being wound up, on the liquidator and contributories of the company

In the case of ***Telecommunication Holdings Pvt. Ltd. In re., India Securities Ltd. In re LCA 95: (2011) 167 Com Cases 566: (2012) 111 SCL 795 (Mad), wherein, it is interalia held that*** the Hon'ble HC held that when the scheme was approved by the majority of the shareholders & unsecured creditors at the meeting convened under the orders of Hon'ble Court, the Court can allow the petition, even though the scheme was in violation of accounting standards and also under Section 211 of Companies Act, 1956, if the Petitioner submits an undertaking to the court to disclosure of all the documents as requires under law.

In the case of ***Mile Stone Trade Links Pvt. Ltd. In re., (2013)176 C.C 337 (Guj)., wherein it is inter alia held that*** while sanctioning a scheme of amalgamation, the court retains its power to supervise such scheme and is empowered to give directions either at the time of passing the order or thereafter and has the power to modify the arrangement for its proper working. Section 393(2) of the Companies Act, 1956 empowers the court to order wining up if the scheme cannot be worked out satisfactorily with or without modification. Siemens Information processing Services Pvt. Ltd., In re., (2012)171 C.C 81 (Karn).

11. As stated supra, the Scheme in question is framed in accordance with law and the instant petition is filed by disclosing all material facts which includes latest financial position, Auditorreport and the statutory Authorities also reported that the affairs of Company are being conducted in accordance with law. So far as the observations/objections as raised by the Statutory Authorities as mentioned supra, any scheme under Section 230-232 of Companies

Act, 2013, is to be prepared first basing on parameters in the interest of business, subject to Compliance of extant statutorily Compliance under Companies Act, 2013. A scheme cannot be framed in violation of any provisions of Articles of Association of a Company and extant provisions of Companies Act, 2013. Any scheme can be approved subject to complying all the terms and conditions mentioned in it and it cannot waive/override any statutory stipulation and the Authorities are at liberties to take appropriate action in accordance with law for any violation committed by the Companies involved in Scheme.

12. It is settled position of law that the Companies involved in the scheme have right to evolve their suitable schemes in accordance with their business interest and public interest duly complying with their respective Memo and Articles of Association, however, subject to overall compliance of extant provisions of Companies Act, 2013 and the Rules made thereunder. At the same time, the Tribunal is under obligation to scrutinize the schemes in question, in the light of law on the issue before it is approved. Apart from framing scheme in question, it is duly approved by the Board of Directors of the respective Companies, and it was duly approved by respective stake holders with requisite majority as detailed supra. The Petitioner Companies have also followed pre-conditions such as convening the meetings of the Shareholders and Creditors of respective Companies, getting the dispensation of holding meeting of secured creditors etc. It is also relevant to point out here that the Scheme in question is not opposed by any statutory or regulatory authorities or any other concerned person (i.e. BSE, NSE, SEBI, RD, ROC, OL, IT Department, Shareholders, Creditors, other stakeholders etc.). It is for the benefit of all the Companies involved and Stakeholders and it is not against Public interest. After analyzing the issue in detail, the Tribunal is convinced that the scheme in question would broadly confirm to the general principles of law as enunciated under provisions of Sections 230 to 232 of Companies Act, 2013 and the rules made thereunder.

13. I have perused the from the Accounting Certificates in respect of all the Companies even dated 22.01.2018 from the Statutory Auditor certifying that the accounting treatment provided in the Scheme is in compliance with the Accounting Standards as specified under Section 133 of the Companies Act, 2013 and the rules made thereunder. Therefore, the Scheme in question appears to be fair, reasonable and is not detrimental to the Members or Creditors or contrary to public policy and the same can be approved.

14. In the result, by exercising powers conferred on this Tribunal U/s 232(3) of the Companies Act, 2013, C.P(CAA) No.22/BB/2018 is hereby disposed of with following directions:

1) It is hereby provisionally sanctioned the Scheme of Amalgamation for amalgamation of **M/s.MCML Electrical Systems Private Limited**, & **M/s.MCML Train Control Technologies Private Limited**, (Transferor Company) with **M/s.MCML Systems Private Limited**, (Transferee Company) and it is binding on the concerned parties:

2) The Transferee Company is directed to comply with all terms and conditions as mentioned in the Scheme as approved by the Board of Directors in their meetings held on 08th November, 2017, subject to extant provisions of Companies Act, 2013 and also the undertakings given to the Tribunal by way of Affidavits.

3) The Transferee Company is permitted to submit a certified copy of this order to the Registrar within a period of 30 days from the date of receipt of the copy of this order.

4) Approval of Scheme would not absolve the Companies involved in the Scheme for any statutory violations of law, before the scheme into operation, and the Statutory Authorities are at liberty to take appropriate action(s) for any violation(s) if any found, in the meanwhile.

5) Any person aggrieved by the acceptance of the Scheme is permitted to approach this Tribunal by way of miscellaneous application within a period of six weeks from the date of this order.

6) The parties are directed to issue notification in one local and national paper, where the registered office of Company situated, by notifying that the Scheme is approved by the Tribunal.

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

Raushan